POWERTEL COMMUNICATIONS (PRIVATE) LIMITED
versus
CANLINK TRADING (PRIVATE) LIMITED
and
KEVIN TERRY N.O

HIGH COURT OF ZIMBABWE
DEME J
HARARE, 10, 13 and 23 February 2026

Opposed Application

F Chinwawadzimba with B Mahuni for the applicant
T Mpofu for the 1st respondent
No appearance for the 2nd Respondent.

DEME J: The Applicant is seeking an order for the setting aside of an arbitral award in terms of Article 34(2)(b)(ii) of the Schedule to the Arbitration Act [*Chapter 7:15*]. In particular, the Applicant is seeking the following relief:

> "1. The application be and is hereby granted.
> 2. The award granted by the 2nd respondent on the 1st of September 2025 be and is hereby set aside.
> 3. The 1st respondent shall pay costs of suit."

The brief facts of the matter are that the Applicant and the 1st Respondent concluded an agreement for the installation of an anti-vandalism system (hereinafter called "the system") on 6 000 sites. The parties concluded a further agreement for the maintenance of the system installed on the identified sites. The 1st Respondent managed to install the system on 859 sites. The 1st Respondent subsequently demanded payment for the installation and maintenance of the system on 859 sites.

According to the Applicant, the system installed on 859 sites was not properly functioning on some sites. The Applicant alleges that the 1st Respondent was advised of this fact but failed to

repair the system. The Applicant affirmed that it withheld part of the payment on the basis that the system installed at some sites was not functioning. The Applicant further alleged that it terminated the two agreements on 19 March 2024 as a result of the alleged breach of the two agreements by the 1st Respondent. The dispute between the Applicant and the 1st Respondent was finally referred to the 2nd Respondent for arbitration by consent of the parties. The 2nd Respondent, in his operative portion of the arbitral award, ruled that:

"The respondent must pay claimant:

1. the amount of USD$101, 977.36 in respect of the unpaid invoices.
2. the sum of USD$676,368.00 being expected revenue from monthly recurring fees for 859 sites installed and commissioned from 1st of May 2023 reckoned to the 31st of May 2027.
3. the costs of this arbitration dollar for dollar including this Tribunal's costs**."**

It was alleged by the Applicant that the damages in the sum of US$676 368.00 awarded to the 1st Respondent were purely speculative. According to the Applicant, the damages had no foundation. It was alleged by the Applicant that the damages awarded were not backed by any evidence. The Applicant claimed that the 2nd Respondent ought to have called for evidence for damages before reaching a conclusion on the question of such damages.

The Applicant also affirmed that the 2nd Respondent failed to consider mitigating factors pleaded by the Applicant arising from the implementation and operational challenges. According to the Applicant, if such challenges were taken into account, the damages ought to have been reduced. It was further averred by the Applicant that it will be forced to pay for the damages without enjoying the services. Such an award, according to the Applicant, will erode public funds. The Applicant is of the firm view that the award flies against public policy.

The present application was opposed by the 1st Respondent. According to the 1st Respondent, the award can only be set aside on very narrow grounds. It further claimed that the court must not sit as a review or appeal court when hearing the present application. The 1st Respondent further asserted that the complaint raised by the Applicant is an assault on the factual findings of the 2nd Respondent, which cannot constitute the basis for the setting aside of the arbitral award. According to the 1st Respondent, the present application can be described as a disguised appeal.

The 1st Respondent alleged that all 859 sites were certified, tested, and subsequently commissioned. According to the 1st Respondent, the acts of certification and commissioning of the sites were a signal that such sites were functioning. The 1st Respondent further maintained that the sites were designed according to the specifications of the Applicant. It was further

alleged that the subsequent non-functioning of the sites was a result of the Applicant's non-payment of the invoiced amounts. The 1st Respondent additionally claimed that it needed some funds to pay for the data to ensure that the system remained operational. According to the 1st Respondent, the 2nd Respondent correctly held that the Applicant contributed towards the non-functioning of the system in a variety of ways.

The 1st Respondent also affirmed that additional problems arose from inconsistent voltage, which disrupted the system. The 1st Respondent averred that it was forced to purchase voltage protectors at its own costs.

The 1st Respondent alleged that there are no legal principles that were violated by the 2nd Respondent in his ruling. It further asserted that the damages were not speculative as they are compensatory in nature, seeking to place the innocent party in the position it would have enjoyed had the contract not been unlawfully terminated. According to the 1st Respondent, the damages in the sum of US$676 368.00 were based on 859 sites and the billing period ranging from 1 May 2023 up to 31 May 2027.

The 1st Respondent maintained that the alleged implementation challenges have nothing to do with 859 sites as such sites were certified, tested, and commissioned. According to the 1st Respondent, it was the duty of the Applicant, and not the 2nd Respondent, to prove its case through its own evidence.

The sole question which arises for determination is whether the arbitral award may be set aside on the grounds pleaded by the Applicant.

The Applicant approached this court in terms of Article 34(2)(b)(ii) of the Schedule to the Arbitration Act. In terms of this provision, if this court finds that:

> "The award is in conflict with the public policy of Zimbabwe."

This court may set aside the arbitral award. In defining the public policy, GUBBAY CJ, as he then was, in the case of *Zesa* v *Maposa*[1] propounded the following remarks:

> "An arbitral award will not be contrary to public policy merely because the reasoning or conclusions of the arbitrator are wrong in fact or in law. In such a situation the court would

[1] 1999 (2) ZLR 452 (S). At 466E

> not be justified in setting the award aside. Under article 34 or 36, the court does not exercise an appeal power and either uphold or set aside or decline to recognise and enforce an award by having regard to what it considers should have been the correct decision."

Further, in the case of *Zimbabwe Educational Scientific Social Cultural Workers Union v Welfare Educational Institutions Employers Association*[2], the Supreme Court quoted with approval the case of *ZESA* v *Maposa* (*supra)*, and remarked as follows:

> "What public policy entails has been subject to judicial comment. In *ZESA v Maposa* it was held that:
> "An award would be contrary to public policy if –
> (a) It was induced by fraud or corruption;
>
> (b) A breach of natural justice occurred. The substantive effect of an award may also make it contrary to public policy, if, for example, it endorsed the breakup of a marriage or some criminal act.
>
> It was held, further, that the approach to be adopted is to construe the public policy defence, as being applicable to either a foreign or domestic award, restrictively in order to preserve and recognise the basic objective of finality in all arbitrations, and to hold such defence applicable only if some fundamental principle of the law or morality or justice is violated. An award will not be contrary to public policy merely because the reasoning or conclusions of the arbitrator are wrong in fact or in law. Where, however, the reasoning or conclusion in an award goes beyond mere faultiness or incorrectness and constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or accepted moral standards that a sensible and fair minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award, then it would be contrary to public policy to uphold it. The same consequences apply where the arbitrator has not applied his mind to the question or has totally misunderstood the issue, and the resultant injustice reaches the point mentioned.""

The effect of the arbitral award is that it brings the dispute between or among the parties to an irretrievable conclusion, save in instances where the arbitration law provides for appeal mechanisms. Referral of the dispute to arbitration is usually a result of an agreement concluded by the parties. Hence, courts do not lightly interfere with proceedings conducted in terms of the arbitration agreement, with the exception of legislated circumstances. Butler and Finsen, "Arbitration in South Africa; Law & Practice" at p 271, postulated as follows:

[2] SC11/13.

> "The most important legal consequence of a valid final award is that it brings the dispute between the parties to an irrevocable end; the arbitrator's decision is final and there is no appeal to the courts. For better or worse, the parties must live with the award, unless the arbitration agreement provides for a right of appeal to another arbitral tribunal. The issues determined by the arbitrator become *res judicata* and neither party may reopen those issues in a fresh arbitration or court action".

The power of this court is severely restricted when hearing the application of this nature. In *Net One Cellular (Pvt) Ltd* v *Communications and Allied Services Workers Union of Zimbabwe and Anor*[3], CHIDYAUSIKU CJ, as he then was, at p 5 of the cyclostyled judgment stated as follows:

> "A proper reading of Article 34 of the Arbitration Act, in my view, reveals that it prescribes the power of the High Court in relation to the setting aside of arbitration awards. A litigant who wishes to set aside an arbitral award by way of an application to the High Court has to satisfy the stringent requirements of Article 34 of the Arbitration Act."

Public policy may be violated where there is evidence of palpable inequity, gross irrationality, moral turpitude or resultant grave injustice that can be detected from the award itself. In the case of *OK Zimbabwe Ltd v Ardmbare (Pvt) Ltd*[4], the Supreme Court made the following remarks:

> "However, I am unable to discern any palpable inequity, gross irrationality, moral turpitude or resultant grave injustice, either in the procedure adopted by the arbitrator or in his substantive findings on the merits of the matter, so as to warrant the setting aside of the impugned award."

The threshold of being contrary to public policy is very high. It is evident that the courts restrictively construe the public policy defence in order to bring finality to litigation. In *casu*, the 2nd Respondent in his award stated that:

> "As far as damages claim C. is concerned, this figure arises from a simple calculation in terms of the contract between the parties and was testified to by Claimant's witnesses. This claim is therefore allowed."

The 1st Respondent, initially, was not able to justify how the figure of US$676 368.00 was arrived at. In paragraph 22 of its heads of argument, the 1st Respondent attempted to

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[3] SC-89-05

[4] SC55/17.

give a computation of the sum of US$676 368.00. Paragraph 22 of the 1st Respondent's heads of argument is as follows:

> "22. The damages were calculated based on the following undisputed facts:
> a.) 859 sites had been installed, commissioned and certified as operational by the Applicant's representatives;
> b.) The maintenance agreement provided for monthly recurring fees of US$14.00 per site;
> c.) The maintenance agreement was to remain valid up to May 2027; and
> d.) The Applicant unlawfully terminated the agreement in May 2023."

Adv *Mpofu* was not able to explain the computation method established in the 1st Respondent's heads of argument. He requested for more time to get further instructions on this aspect. He later filed further submissions. In his additional submissions, he referred the court to page 147 of the record and submitted that the sum of US$16.50 per month was the agreed fee per site after taking into account the value added tax. He further submitted that the billing period was for forty-eight months. He also maintained that five sites out of 859 sites were no longer functional as they were fully vandalised. The number of the remaining sites, according to Adv *Mpofu*, was now 854. Accordingly, Adv *Mpofu* abandoned the submission in paragraph 22 of the 1st Respondent's heads of argument.

Adv *Chinwawadzimba*, through her supplementary heads of argument, submitted that the calculation outlined in paragraph 22 of the 1st Respondent's heads of argument, together with the supplementary heads of argument, are factual issues which ought to have been pleaded in the opposing affidavit. Reference was made to the cases of *Cargill Zimbabwe v Culver's Trafing (Pvt) Ltd*[5], *Magura & Ors v Mukarakate & Ors*[6] and *Brooker and Anor v Mudhanda and Anor*[7]. Adv *Chinwawadzimba* contended that the new evidence submitted through supplementary heads of argument ought to have been alleged in the opposing affidavit. She argued that the 2nd Respondent made a finding that there were 859 sites and not 854 sites. She further submitted that the new figures were only picked to suit the 1st Respondent's narrative, as this was never

[5] HH42/06.

[6] HH803/15.

[7] SC5/18.

pleaded. Adv *Chinwawadzimba* argued that on page 178 of the record, the 1st Respondent claimed US$14 173.50 which has no foundation.

In my view, what was brought before my attention through 1st Respondent's supplementary heads of argument cannot be regarded as new evidence as alleged by Adv *Chinwawadzimba*. The 1st Respondent simply referred me to the appropriate page of the record. A perusal of the record confirms that the monthly fee per site was US$16.50. On page 147, 843 sites attract a total fee of US$13 909.50 per month. The contested sum of US$14 173.50 on page 178 referred to by Adv *Chinwawadzimba* was the monthly fees for all sites per month, according to the information on record. Thus, 859 sites, with each attracting a monthly fee of US$16.50 equals the sum outlined on page 178 of US$14 173.50. Thus, if one takes into account the number of sites which were alleged to be fully vandalized, the final amount will be US$676 368.00 for 854 sites over forty-eight months. To this end, I disagree that the damages were speculative as alleged by the Applicant. The 2nd Respondent, in my view, carefully considered all facts and figures placed before his attention and came to a conclusion in the manner he did.

In my view, if the 2nd Respondent was wrong on the final figure, the margin of error may not amount to palpable inequity, gross irrationality, grave injustice, and moral turpitude. Thus, the error, if any, must be construed to be in favour of the Applicant as the final amount of damages got reduced by the number of sites which were alleged to be fully vandalized. Thus, the amount of US$3 960 arising from 5 sites for forty-eight months at the rate of US$16.50 was subtracted from the final amount of damages for expected revenue. The error, if any, does not go beyond mere faultiness. The error complained of does not violate public policy, in my view. This court cannot set aside the arbitral award on the basis of an error of fact or error of law. The error complained of must reach a certain threshold for the court to set aside the arbitral award. The idea behind this principle is to ensure that the parties must learn to abide by their arbitration agreement which they freely and voluntarily concluded. This court must not necessarily interfere with the arbitration agreement. On this basis, I am unable to set aside the sum of US$676 368.00. The Applicant alleged that there were implementation and operational challenges which ought to have been taken into account by the 2nd Respondent in granting the final award. However, the Applicant failed to quantify the final damages payable after taking into account the challenges faced during the contracting period. The founding affidavit did not quantify the damages to this

end. The 2nd Respondent concluded that most of the implementation challenges were a result of the Applicant and its associates. Evidence on record confirms this conclusion. For this reason, I find no fault with the decision of the 2nd Respondent on this aspect.

In my view, the Applicant did not strongly contest the damages specified in paragraph 1 of the operative part of the award. Such sum was once invoiced. The 2nd Respondent correctly concluded that the Applicant admitted that the damages in paragraph 1 were due. Adv *Chinwawadzimba* insisted that the Applicant was challenging the entire award, including paragraph 1 of the award. However, no appropriate provision of the pleadings was brought to my attention in support of this position. In my view, it is not proper to set aside the damages specified in paragraph 1 for no strong reasons. If this court is to set aside the damages awarded in paragraph 1 of the award, it must be persuaded that there are grounds for the setting aside of such a decision. No valid grounds have been advanced by the Applicant justifying the setting aside of the damages outlined in paragraph 1 of the award. Consequently, the application is unmerited and must therefore be dismissed.

On the question of costs, the established rule is that costs follow the outcome. I have not been motivated to have a departure from this conventional practice. On this basis, an order that the Applicant must bear the 1st Respondent's costs of suit on an ordinary scale is appropriate in the circumstances. In the premises, the following order is made:

The application be and is hereby dismissed with costs.

DEME J. …….

Muvingi Mugadza, applicant's legal practitioners
Mawere Sibanda Commercial Lawyers, 1st respondents' legal practitioners